

What is Economics

What is economics?

From the book

- *Economics* is the social science that studies the *choices* that individuals, businesses, governments and entire societies make as they cope with *scarcity* and the *incentives* that influence and reconcile those choices.

Economics

- Economics is divided into two broad fields:
 - *Microeconomics*: Study of the choices that individuals and businesses make, the way these choices interact in markets and the influence of governments.
 - *Macroeconomics*: Study of the performance of the national economy and the global economy.

What is economics?

- *Economics* is the study of how people manage resources.
- Assumption - people behave rationally.
- *Scarcity* - our inability to satisfy all our wants.
 - *Limited resources but unlimited wants*
 - Faced with scarcity, we must *choose* among the available alternatives.
 - *Choices* depend on the incentives.

Two BIG economic questions

- 1) How do the choices that people make end up determining *what, how, whom* and *for whom* goods and services get produced?
 - Economics helps us analyse *what* goods and services to produce

Two BIG economic questions

- It also specifies *how* do we produce goods
- *Who* gets the goods and services depends on their income

Factors of Production

Land earns **rent**

Labor earns **wages**

Capital earns **interest**

Entrepreneurship earns **profit**

Two BIG economic questions

2) When do choices made in the pursuit of *self-interest* also promote *social interest*?

Self-interest - choices that you think are *best for you*

Social interest - choices that are *best for society*

> Think of your own individual interests

Choices and Trade-Offs

- Every choice is a *trade-off*; exchanging more of something for less of something else.
- All economic questions involve a trade-off.
- *Movie vs coffee trade-off*

Opportunity Cost

- *There is no such thing as a free lunch! – every choice involves a cost.*
- The highest valued *alternative* that we give up to get something is the opportunity cost of the activity chosen.
- All the trade-offs that we have considered involve opportunity cost.
- The opportunity cost of more goods and services in the future is less consumption today.

Opportunity cost

Suppose that you are studying for your economics final and you are confronted with the choice to go to the movies with your friends.

- What is the opportunity cost of going to the movies?
- What is the opportunity cost of studying economics?

Active Learning: Opportunity cost

- What is the opportunity cost of going to the movies?
 - *The opportunity cost of going to the movies is the value placed on studying. This could be valued at the change in grade from study or forgone future earnings.*

Active Learning: Opportunity cost

- What is the opportunity cost of studying economics?
 - *The opportunity cost of studying economics is the value of going to see the movie. It could be valued at the ticket price.*
- What is the rule of thumb in deciding which activity to choose?
 - *Choose the activity with the lowest opportunity cost.*

Margin and Incentives

- Choices are made at the *margin* and respond to incentives.
- *Incentive* - a reward that *encourages* or a penalty that *discourages*.
- The benefit that arises from an increase in an activity is called *marginal benefit*.
- The cost of an increase in an activity is called *marginal cost*.

Margin and Incentives

- Predicting how choices can change by looking at incentives
- *Marginal benefit > Marginal cost* = people have an *incentive* to do more of that activity
- *Marginal cost > Marginal benefit* = people have an *incentive* to do less of that activity

Incentives

- Suppose your higher education institution permits your final exam score to replace a below average midterm exam score in a course.
 - How does this affect your opportunity cost of going to the movies?

The opportunity cost of going to the movies increases. The institution has given students an incentive to engage in academic activities.

Economic Models

- Economic *models* - show how people, firms, and governments make decisions about managing resources, and how their decisions interact.
- Models are a *simplification* of complex problems.
- What makes a model *useful*?
 - Makes clear assumptions.
 - Describes the *real world* accurately.
 - Predicts cause and effect.

Ceteris Paribus

- Economic experiments are difficult to perform and economic behavior has many simultaneous causes.
- *Ceteris paribus* is a Latin term that means “other things being equal” or “if all other relevant things remain the same”.
- By changing one factor at a time and *holding all other relevant factors constant*, we isolate the factor of interest and investigate its effects

Summary

- *Key terms:*
 - Economics
 - Micro vs Macro
 - Scarcity
 - Opportunity Cost
 - Margins & Incentives
 - Economic Models
 - Ceteris Paribus
- *Reading: Chapter 1 of “Economics” by Parkin, Powell, Mathews 6th Ed.*